TOPIC 3 · ECONOMIC ISSUES

Australian Financial Review (Phillip Coorey – opinion)
5 November 2026

Cost of living decided the US midterms. Is Labor next?

> AFR political editor Phillip Coorey argues the Republican defeat was about prices, not ideology. Petrol prices from the Iran war and tariff-driven price rises hurt voters, and he says the Albanese government should take note.

WHAT HAPPENED

- Labor, the Coalition and One Nation all agree the US result was mainly about the cost of living.
- Joe Hockey noted diesel was over US$6 a gallon (about A$2.27 a litre) and that everyday goods had become far more expensive.
- Coorey says the Albanese government, facing another rate rise, could face a similar backlash in 2028 unless conditions improve.
- In his view, Labor's strategy rests on finding budget savings and hoping interest rates fall before the next election.
- *Note: this is an opinion column, so use it to show the politics of inflation, not as a data source.*

US$6+
Diesel price per US gallon cited by Hockey (about A$2.27/L)

4.85%
Australian cash rate after this week's rise

2028
Next federal election, when Coorey says Labor could face a similar backlash

Cost of living: the cost of the goods and services households need; it rises when prices outpace incomes

Real wages: wages adjusted for inflation, which measure actual purchasing power

FLOW CHART

From price shocks to political backlash

War and tariffs push up fuel and goods prices → Inflation outpaces wage growth → Real wages fall; living standards slip → Voters punish the incumbent government → **Pressure for quick fixes, which may clash with fighting inflation**

Exam angle: Use this to show the **distributional effects of inflation**. Low-income households spend more of their budget on fuel and food, so price shocks are **regressive**.

SYLLABUS LINK

Topic 3 – Inflation: its effects on living standards and the distribution of income; Topic 4 – Constraints on economic policy.

TRY THIS

1. Explain why real wages fall when inflation exceeds nominal wage growth. **(3 marks)**
2. Discuss how political pressures can limit governments' ability to fight inflation. **(5 marks)**

Read more: AFR – It's the cost of living, stupid. And not even Trump is immune (5 Nov 2026)

Summary written in our own words for classroom use